

City Council Work Session Minutes
April 14, 2016

CALL TO ORDER

Mayor Filkins opened the meeting at approximately 5:00 pm.

ROLL CALL

Present: Council Members: Spoelman, Meinhardt, Mayor Filkins

Absent: Council Members: Schippers, Wohlfeill

Staff Present: Peccia, Roberts, Dewitt, Dietlin, Osborn, Wallace

Others Present: Chris Lamphere, Cadillac News

APPROVAL OF AGENDA

Motion was made by Meinhardt and supported by Spoelman to approve the agenda as presented.

Motion unanimously approved.

PUBLIC COMMENTS

None

DISCUSSION AND REVIEW OF THE 2016/2017 ANNUAL OPERATING BUDGET

Peccia made available copies of the “2017 Budget Discussion Items” sheet for Council and anyone in attendance to take and use during the work session.

Peccia noted that the draft budget that everyone has includes the Council’s Mission and Vision Statements, Goals along with their priority programs and projects, and year one of the CIP.

Regarding the Council’s main goal categories, Peccia noted that there are four (4) main categories:

- Community Development & Enhancement
- Public Safety
- Economic Health & Development
- Customer Service & Organizational Enhancement

Peccia advised that performance measures and benchmarking charts are also noted by page numbers listed on top of the summary sheets that begin on page 23 of the budget and that the priority programs and projects have been updated to reflect their current status within the budget.

Council Member Spoelman inquired about the opportunity to further review the goals section of the budget, and Peccia advised that although the budget hearing is next week, that the budget isn't adopted until the second meeting in May, and that there would be opportunity for Council to have another work session where further discussion could take place. Peccia mentioned that dates would be circulated in the next week to look at setting that session.

Mayor Filkins commented how it has been approximately 40-years since the City's Charter has been reviewed, and that as part of the City's goals for next year, establishing a review committee with representation from the City Council, staff, and community would be something that she believes would be of interest to pursue. Peccia commented how that could be included in the updated priorities when revisited prior to the adoption of the budget.

Roberts led the review of the proposed budget using the following discussion items, which were made available to everyone in the beginning of the meeting:

GENERAL FUND

General Fund Revenue Highlights

- Taxable Value/Impact of Personal Property Tax Reform
- Estimated Reimbursement Calculations
- \$36,000 appropriated from reserves on hand to balance budget – this is less than total proposed capital spending

General Fund Expenditure Highlights

- 1.5% COLA's for all employee groups
- Reduction of one (1) FTE (Cemetery Superintendent); partial impact to General Fund
- Increase in seasonal hires (enabled by elimination of full-time employee)
- Capital Outlay
 - Police Patrol Vehicle (\$32,000)
 - Fire Rescue Truck (\$45,000)
 - Parks Mower (\$9,000)
 - Total: \$86,000
- Transfers to Other Funds
 - Cemetery Operating – down \$10,000 (enabled by elimination of full-time employee)
 - Local Street Fund – down \$125,000 (enabled by elimination of full-time employee and mostly by projected increase in Act 51 Revenue)

WATER AND SEWER FUND

Water and Sewer Fund Revenue Highlights

- Proposed 2.5% rate increase; Justifications:
 - Final Phase of well field relocation – prepare for additional costs and debt service
 - Continued meter replacement – 1-2 more years @ \$95,000 per year
 - Top fifteen users: \$1.5 million revenue per year; \$1.4 million ten years ago
- New late fees implemented 7/1/15 helped mitigate need for new revenue
- Leachate continues to come in above budget, but don't want to build too much reliability; any additional revenue will be reinvested into system
- SAW Grant will reimburse for work performed by City crews

Water and Sewer Expense Highlights

- Increased budget for meter replacements to \$95,000 – need this for 1-2 more years
- Increased salary costs for SAW grant-related work; typically overtime
- No staffing increases other than COLA
- Depreciation and Interest will increase next year based upon new well field project

Water and Sewer Capital Highlights

- Well Field (\$3,000,000 - estimated)
- Other Infrastructure (\$385,000)
- Vehicles (\$45,000)
- Building Improvements (\$40,000)
- Equipment (\$185,500)
- Total \$3,655,500

MAJOR AND LOCAL STREET FUNDS HIGHLIGHTS

Revenue Highlights

- Act 51 Revenues – significant increase based on legislative reform – increase in fuel taxes and vehicle registrations. These revenues flow through MDOT and MVHF formulas
 - Major Street Fund: estimated \$100,000 increase from current year projections
 - Local Street Fund: estimated \$45,000 increase from current year projections
- Transfer from Major Street Fund to Local Street Fund increased to \$150,000 (can legally transfer 25% of Major Street revenue to Local Street – so could transfer up to \$171,250)
- Because of revenue increases – reliance on General Fund down from \$325,000 to \$200,000 in the General Fund
- Combined excess of revenues over expenditures of \$163,300 – this is additional revenue available to support bond debt service of \$2 million which will be explored in the very near future

Expenditure Highlights

- Fairly status quo with street maintenance operations
- Slight cost reductions from elimination of Cemetery Superintendent based upon having to take one street crew member and assign them for a portion of their time to Cemetery maintenance
- Street construction costs will be accounted for in a separate capital projects fund

OTHER BUDGET HIGHLIGHTS

- Naval Reserve Center financing
- SAW Grant activities
- Cemetery Operating Fund cost reductions
- Capital Projects Fund
 - \$2 million bond issuance for street construction – have revenues available as mentioned previously; delayed bond issuance due to the interplay with the downtown projects
 - Up to \$1.5 million in construction; will need to maintain authorized relationship with contract engineers (Prein & Newhof)
- Stores and Garage Fund (DPW Fleet)
 - Capital Spending
 - Bucket Truck (\$75,000)
 - Sweeper (\$200,000)
 - V-Plow (\$8,500)
 - Total \$283,500; will need cash-flow assistance either from other identified funding sources or internal loan
- DDA Capital Projects Fund has budget for The Plaza at Cadillac Commons Project

Discussion between members of the City Council and staff ensued from time-to-time regarding various areas of the budget. Concerns ranging from the status of State shared revenue to the use of environmentally friendly construction materials and techniques were discussed. The City Council was complimentary of the draft budget and its review. Roberts offered Council the opportunity to meet with him should anyone have any questions, and Peccia reiterated that a date will be circulated sometime next week to set another work session date prior to the second meeting in May.

The following was added as a result of Council action taken at the regular meeting held on April 18, 2016.

Spoelman discussed the need to capture more storm water runoff before it goes into Lake Cadillac, and suggested that staff look into construction practices that would be helpful as part of future projects. Spoelman also showed brochures which provided examples of different products that are available to aid in this effort.

DeWitt and Wallace noted that a filtering system, as suggested by the locally based DEQ staff, may be part of the future construction of the farmers' market. It was also noted that it is typically more expensive to implement certain environmentally sensitive construction practices in urban areas where there is not a lot of land available to capture runoff.

ADJOURNMENT

Respectfully submitted,

Carla J. Filkins, Mayor

Sandra L. Wasson, City Clerk